STOCK MARKET FUNDAMENTALS

A one-page primer for Data Analysts, with a financial-statement analysis of Tata Consultancy Services (TCS)

1. CORE MARKET CONCEPTS

The Market & Its Indices

Stock Market: A regulated marketplace where shares (ownership units) of listed companies are bought and sold. In India it is regulated by SEBI (Securities and Exchange Board of India).

NSE & BSE: The National Stock Exchange and Bombay Stock Exchange are India's two principal stock exchanges where trading is executed electronically.

Nifty & Sensex: Benchmark indices tracking the performance of the top listed companies — Nifty 50 (NSE, 50 large-cap stocks) and Sensex (BSE, 30 large-cap stocks) — used as barometers of overall market health.

IPO & SME IPO: An Initial Public Offering is the first sale of a company's shares to the public to raise capital and gain a stock-exchange listing. An SME IPO is a smaller-scale offering for small and medium enterprises, listed on dedicated SME platforms with lighter eligibility norms.

Valuation Metrics

Market Capitalization: Total market value of a company's outstanding shares (Share Price × Total Shares Outstanding); used to classify firms as large-, mid-, or small-cap.

P/E Ratio (Price-to-Earnings): Share Price ÷ Earnings Per Share. Shows how much investors pay for every rupee of profit; a higher P/E often signals growth expectations (or overvaluation).

P/B Ratio (Price-to-Book): Share Price ÷ Book Value per Share. Compares market value to the accounting (net-worth) value of the company; useful for asset-heavy or financial-sector firms.

EPS (Earnings Per Share): Net Profit ÷ Number of Outstanding Shares. A core profitability metric showing how much profit is attributable to each share.

Dividend: A portion of profit distributed to shareholders, usually expressed as Dividend Per Share or Dividend Yield (Dividend ÷ Share Price).

Bonus & Stock Split: A bonus issue gives shareholders additional free shares from reserves (e.g., 1:1); a stock split divides each share into multiple lower-priced shares (e.g., 1:5). Both increase share count without changing overall company value or an investor's proportional stake.

Trading Volume: The number of shares traded in a given period; high volume signals strong interest/liquidity and often precedes or confirms price moves.

2. COMPANY FINANCIAL STATEMENTS

Balance Sheet: A snapshot at a point in time of what a company owns (Assets) and owes (Liabilities), and the residual Shareholders' Equity (Assets = Liabilities + Equity).

Profit & Loss (Income) Statement: Summarizes Revenue, Expenses, and resulting Net Profit over a period — shows operating performance and profitability trends.

Cash Flow Statement: Tracks actual cash movement across Operating, Investing, and Financing activities — reveals whether reported profit is backed by real cash generation.

Basic Financial Ratios: Derived from the three statements to assess performance: Profitability (Net Margin, ROE, ROCE), Liquidity (Current Ratio), Leverage (Debt-to-Equity), and Efficiency (Asset Turnover).

3. CASE STUDY: TATA CONSULTANCY SERVICES LTD. (NSE/BSE: TCS)

TCS is India's largest IT services company (Tata Group) and a Nifty 50 / Sensex constituent. Figures below are consolidated, as of FY2025 (year ended Mar-2025) and TTM (trailing twelve months) market data — *for domain-learning purposes, not investment advice.*

Market & Valuation Snapshot (TTM)

Metric	Value	Metric	Value
Market Cap	₹8,42,092 Cr	P/E Ratio	15.7x
CMP (17-Aug-26)	₹2,327	P/B Ratio	7.97x
Book Value/Share	₹296	Dividend Yield	2.73%
ROE	51.8%	ROCE	63.0%

Profit & Loss Statement — FY2025 (₹ Crore)

Line Item	FY2024	FY2025	YoY
Revenue	2,40,893	2,55,324	+6.0%
Operating Profit	64,296	67,407	+4.8%
Net Profit	46,099	48,797	+5.9%
EPS (₹)	126.88	134.20	+5.8%

Balance Sheet — as of Mar-2025 (₹ Crore)

Item	Amount	Item	Amount
Equity Capital	362	Total Assets	1,58,649

Item	Amount	Item	Amount
Reserves & Surplus	94,394	Borrowings	9,392
Total Liabilities	1,58,649	Fixed Assets	23,053

Cash Flow Statement — FY2025 (₹ Crore)

Activity	Amount
Cash from Operations	48,908
Cash from Investing	(2,144)
Cash from Financing	(47,438)
Free Cash Flow	44,994

Key Ratios & Interpretation

- **Profitability:** ROE of 51.8% and ROCE of 63.0% are exceptionally high, reflecting an asset-light, cash-generative services business with strong capital efficiency.
- **Growth:** Revenue and profit both grew ~6% YoY in FY2025 — steady but moderate, consistent with a mature large-cap IT exporter.
- **Cash Quality:** Operating cash flow (₹48,908 Cr) closely tracks net profit (₹48,797 Cr), a CFO/Profit ratio near 100% — a sign of high-quality, non-inflated earnings.
- **Balance Sheet:** Minimal borrowings (₹9,392 Cr) versus ₹94,756 Cr of equity capital + reserves — an almost debt-free balance sheet typical of IT services firms.
- **Valuation:** A trailing P/E of ~15.7x is below TCS's own 10-year average (~26x) and its IT-sector peer median, while the P/B of ~8x reflects the low capital base of a services model rather than overvaluation on its own.
- **Shareholder Returns:** A high dividend payout ratio (94% in FY2025) shows management returns most surplus cash to shareholders rather than reinvesting for expansion — typical of a low-capex service business.

Sources: CA Rachana Ranade – Basics of Stock Market (YouTube), Zerodha Varsity, SEBI Investor Education; company financials from Screener.in and TCS investor relations filings. This document is for domain-knowledge learning only and is not investment or trading advice.